- A diagram should be neatly drawn in an attractive manner
- Every diagram must have a precise and suitable heading
- Appropriate scale has to be defined to present the diagram as per the size of the paper
- The scale should be mentioned in the diagram
- Mention the values of the independent variable along the X-axis and the values of the dependent variable along the Y-axis
- False base line(s) may be used in X-axis and Y-axis, if required
- Legends should be given for X-axis, Y-axis and each category of the independent variable to show the difference
- Foot notes can be given at the bottom of the diagram, if necessary.

Legend means a brief verbal description about the shades/colours applied in the chart/graph. The legend is also known as chart key. It is most often located on the right hand side of the graph/chart and can sometimes be surrounded by a border

4.3 Types of Diagrams

In practice, varieties of diagrams are used to present the data. They are explained below.

4.3.1 Simple Bar Diagram

Simple bar diagram can be drawn either on horizontal or vertical base. But, bars on vertical base are more common. Bars are erected along the axis with uniform width and space between the bars must be equal. While constructing a simple bar diagram, the scale is determined as proportional to the highest value of the variable. The bars can be coloured to make the diagram attractive. This diagram is mostly drawn for categorical variable. It is more useful to present the data related to the fields of Business and Economics.

Example 4.1

The production cost of the company in lakhs of rupees is given below.

(i) Construct a simple bar diagram.

(ii) Find in which year the production cost of the company is (a) maximum (b) minimum (c) less than 40 lakhs.

(iii) What is the average production cost of the company?